

Undertaking to the Australian Competition and
Consumer Commission

Given under section 87B of the *Competition and
Consumer Act 2010* by Westfield Management
Limited, RE1 Limited and RE2 Limited

1. Person giving the Undertaking

- 1.1 This Undertaking is given to the Australian Competition and Consumer Commission (ACCC) by Westfield Management Limited (ACN 001 670 579) in its capacity as the responsible entity of the Westfield Trust on behalf of itself and the Westfield Group (together **Westfield**) and by RE1 Limited (ACN 145 743 862) in its capacity as the responsible entity for Westfield Retail Trust 1 on behalf of itself and the Westfield Retail Trust 1 and by RE2 Limited (ACN 145 744 065) in its capacity as the responsible entity for Westfield Retail Trust 2 on behalf of itself and the Westfield Retail Trust 2 (together **WRT**).

2. Background

The Parties to the Proposed Acquisition

Westfield and WRT

- 2.1 Westfield develops, owns and manages shopping centres in Australia and also in New Zealand, the United States and the United Kingdom. WRT invests in shopping centres in Australia and New Zealand. Currently the ownership interests held by WRT are typically in shopping centres in which Westfield also has an ownership interest and which are managed by Westfield (including the shopping centres referred to in Clauses 2.2 (a), (b) and (c)).
- 2.2 In the Perth metropolitan area, Westfield and WRT jointly own:
- (a) Westfield Innaloo, the Innaloo MegaCentre and Innaloo Shoppers Village (co-located) (together, **Innaloo**) in north metropolitan Perth;
 - (b) Westfield Carousel located in south metropolitan Perth;
 - (c) a 50 per cent interest in Westfield Whitford City located in north metropolitan Perth; and
 - (d) a one-third interest in the Karrinyup Shopping Centre, located in north metropolitan Perth (managed by a subsidiary of AMPCI).

The Karrinyup shopping centre

- 2.3 The Karrinyup Shopping Centre is held by the KSC Trust, a registered management investment scheme.
- 2.4 The WestArt Trust (which through an interposed trust is jointly owned by Westfield and WRT) is the owner of a one-third unit holding in the KSC Trust. The remaining two-thirds unit holding in the KSC Trust is owned by UniSuper. The responsible entity of the KSC Trust is AMP Capital Funds Management Limited. Another AMP entity, AMPCI acts as the asset manager of the KSC Trust and in that role has appointed AMP Shopping Centres Pty Limited and Jones Lang LaSalle as the manager of the Karrinyup Shopping Centre.

- 2.5 The Karrinyup Shopping Centre is located in north metropolitan Perth, approximately 3.3 kilometres north-west of Innaloo. The Karrinyup Shopping Centre is classified as a regional shopping centre in that it has at least one department store (the Karrinyup Shopping Centre in fact has two), a discount department store, supermarkets, a range of speciality stores, gross lettable area of over 30,000m² and good parking.

The Proposed Acquisition

- 2.6 Westfield, WRT and/or Westfield Management Limited in its capacity as the trustee of the WestArt Trust will seek to acquire some or all of UniSuper's units in the KSC Trust through a process agreed with Unisuper and set out in the Unit Sale Process Deed.
- 2.7 Westfield submits that it is in the circumstances described above that Westfield sought informal merger clearance from the ACCC.

The ACCC's review

- 2.8 On 15 August 2011, the ACCC commenced its public, informal review of the Proposed Acquisition. At Westfield's and WRT's request, the ACCC's timeline for review was suspended to allow Westfield to make further submissions. In April 2012, Westfield commenced a sale process with respect to Innaloo and the ACCC's timeline remained suspended during that process.
- 2.9 On 9 July 2013, Westfield and WRT informed the ACCC that they intended to proceed with the Proposed Acquisition.
- 2.10 On 22 July 2013 the ACCC commenced a new public, informal review.
- 2.11 The ACCC undertook market inquiries and considered information provided by the parties to the Proposed Acquisition, industry participants and other interested parties. The ACCC's inquiries were aimed at assessing whether or not the Proposed Acquisition would have the effect or be likely to have the effect of substantially lessening competition in a market in contravention of section 50 of the Competition and Consumer Act 2010 (Cth) (the Act).

The ACCC's competition concerns

- 2.12 The ACCC considered that, in the absence of this Undertaking, the Proposed Acquisition may have the effect, or may be likely to have the effect of substantially lessening competition in relation to:
- (a) the supply of retail space in shopping centres (encompassing regional shopping centres and sub-regional shopping centres) to retailers in north-west metropolitan Perth; and
 - (b) the supply of shopping centre amenities to customers (shoppers) in north-west metropolitan Perth.
- 2.13 The ACCC considered that the relevant geographic market for assessing the impact of the Proposed Acquisition is the north-west corridor of Perth, extending 10km north of the Karrinyup Shopping Centre, 10km to the

south of the Karrinyup Shopping Centre and bounded by the Indian Ocean to the west and the Mitchell freeway to the east.

The supply of retail space in shopping centres to retailers

- 2.14 The ACCC was concerned about the future ability of Westfield and WRT to extract higher rents from retailers seeking to lease retail space in north-west metropolitan Perth, and in particular from retailers relying on comparison shopping such as clothing, footwear, jewellery and gift stores. This was the ACCC's primary competition concern. The ACCC considered that retailers relying particularly on comparison shopping are typically limited to locating in regional shopping centres, large sub-regional shopping centres and potentially some major commercial centres such as those located in central business districts. The ACCC did not consider neighbourhood shopping centres to provide an effective alternative for such retailers.
- 2.15 The ACCC considered that there is limited alternative retail space available in north-west metropolitan Perth for these retailers. The ACCC considered that retail space at Innaloo, which is located approximately 3.3 kilometres from the Karrinyup Shopping Centre, is a close alternative to retail space at the Karrinyup Shopping Centre. While Innaloo is currently a sub-regional shopping centre and does not benefit from a department store, Innaloo has two discount department stores and two supermarkets and has been able to successfully attract a number of retailers which rely on comparison shopping. The ACCC was therefore concerned that competition between shopping centres to attract and retain retail tenants may be substantially reduced by the Proposed Acquisition. Specifically, the ACCC was concerned about the ability and incentive for Westfield and WRT to impose rents and/or other terms and conditions of tenancies on existing and new entrant retailers that would not be possible in the absence of the Proposed Acquisition.
- 2.16 The ACCC was also concerned that the Proposed Acquisition had the potential to reduce the incentives of Westfield and WRT to expand, develop or maintain Innaloo and thereby create a stronger competitor to the Karrinyup Shopping Centre. The ACCC considered that any such change in incentives may result in a reduction in the quality of available retail space or a reduction in future available retail space available to both existing and new entrant retailers compared to the position in the absence of the Proposed Acquisition. The ACCC considered that a reduction in future available retail space had the potential to increase landlords' ability to charge higher rents to retailers.

The supply of shopping centre amenities to customers (shoppers) in north-west metropolitan Perth

- 2.17 The ACCC was also concerned about the extent to which the Proposed Acquisition would impact on shoppers in north-west metropolitan Perth, in terms of shopping centre amenities such as parking space, rest rooms and play areas. The ACCC considered that common ownership of Karrinyup Shopping Centre and Innaloo by Westfield and WRT, and any reduced

incentive to expand and develop Innaloo, had the potential to result in reduced amenities and retail offerings to shoppers when compared to the position in the absence of the Proposed Acquisition.

The Undertaking remedy

- 2.18 Westfield and WRT do not consider the Proposed Acquisition would be likely to substantially lessen competition in the relevant markets. However, as part of Westfield's request for informal clearance of the Proposed Acquisition, and in order to address the ACCC's competition concerns, Westfield and WRT have, without admission offered this Undertaking under section 87B of the Act to divest the Divestiture Business to a purchaser approved by the ACCC.
- 2.19 Westfield and WRT have entered into a Put and Call Option Deed which, upon its exercise by Westfield and WRT, will require the Buyer (being each of The Trust Company (Australia) Limited, Bieson Pty Limited, The Trust Company Limited, and Charter Hall Nominees Pty Limited) to purchase the Divestiture Business from Westfield and WRT at a purchase price and on the terms and conditions set out in the Sale Contract.
- 2.20 In the event that Westfield and WRT fail to divest the Divestiture Business to the Buyer pursuant to the Put and Call Option Deed, this Undertaking requires Westfield and WRT to divest the Divestiture Business to a purchaser approved by the ACCC.
- 2.21 The objective of this Undertaking is to address the ACCC's competition concerns which would otherwise arise as a consequence of the Proposed Acquisition. This Undertaking aims to achieve this objective by:
- (a) addressing the ACCC's concern to maintain the competition which existed before the Proposed Acquisition through the creation or strengthening of a viable, effective, stand-alone independent and long term competitor in the relevant markets;
 - (b) ensuring that any purchaser of the Divestiture Business approved by the ACCC has the necessary assets, rights and agreements to compete effectively with Westfield and WRT;
 - (c) maintaining the economic viability, marketability, competitiveness and goodwill of the Divestiture Business prior to divestiture;
 - (d) enabling the Approved Purchaser to supply the product and service offerings which are part of the Divestiture Business independently and without reliance upon Westfield or WRT (as applicable);
 - (e) providing for the effective oversight of the operation of the Divestiture Business prior to divestiture, the process of divestiture and the separation of the Divestiture Business from businesses that will be retained by Westfield and WRT;
 - (f) requiring Westfield and WRT to appoint an Approved Independent Manager to manage the Divestiture Business until the completion of the divestiture of the Divestiture Business in the event that

Westfield and WRT fail to divest the Divestiture Business to the Buyer pursuant to the Put and Call Option Deed; and

- (g) providing for the effective oversight of Westfield and WRT's compliance with this Undertaking.

3. Commencement of the Undertaking

Commencement

3.1 This Undertaking comes into effect (the **Commencement Date**) when:

- (a) this Undertaking is executed by Westfield and WRT; and
- (b) this Undertaking so executed is accepted by the ACCC.

4. Cessation of ongoing obligations

Withdrawal

- 4.1 This Undertaking is taken to be withdrawn on the date that the ACCC confirms in writing that it is satisfied that the divestiture of the Divestiture Business is completed in accordance with this Undertaking.
- 4.2 Notwithstanding Clause 4.1, this Undertaking is taken to be withdrawn on the date the ACCC consents in writing to the withdrawal of this Undertaking in accordance with section 87B of the Act.
- 4.3 For completeness, if the Proposed Acquisition does not occur, then there will be no Control Date and no Plan B Control Date and Westfield and WRT may make a written request to the ACCC for withdrawal of this Undertaking in accordance with section 87B of the Act.

Revocation

- 4.4 The ACCC may, at any time, revoke its acceptance of the Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

Waiver

- 4.5 The ACCC may, at any time, expressly waive in writing any of the obligations contained in the Undertaking or amend the date by which any such obligation is to be satisfied.

Completion

- 4.6 Clauses 1, 2, 3, 4, 6, 7, 8, 9, 10, 11, 12, 13 and 14 of this Undertaking and clauses 3, 4, 5 and 6 of Schedule 2 survive completion of the obligations in clause 5 of this Undertaking, clauses 1 and 2 of Schedule 2 and confidential Schedules 5 and 6.

5. Divestiture of the Divestiture Business

Purchaser approved before the Commencement Date

- 5.1 Prior to the Commencement Date, and as a condition of the ACCC's acceptance of this Undertaking, the ACCC approved the Buyer as the purchaser of the Divestiture Business.

Exercise of the Put and Call Option

- 5.2 Westfield and WRT must take all steps to comply with the interim covenants set out in clause 2 of the Put and Call Option Deed from the Commencement Date until the date of exercise of either the Put Option or the Call Option pursuant to clause 5.3 of this Undertaking.
- 5.3 Westfield and WRT must exercise the Put Option (or alternatively the Buyer must have exercised the Call Option) pursuant to the Put and Call Option Deed within 2 Business Days of the Control Date.
- 5.4 During the period between the Control Date and the Plan B Control Date and prior to completion of the sale of Innaloo, Westfield and WRT must take all steps to comply with the Divestiture Business protection provisions contained in clauses 3 ("Interim Management of Property") and 20 ("Insurance and Risk") of the Sale Contract.
- 5.5 Westfield and WRT must take all steps to ensure completion of the sale of the Divestiture Business in accordance with the Sale Contract.
- 5.6 In the event that Westfield and WRT fail to divest the Divestiture Business to the Buyer by the Plan B Control Date, Westfield and WRT must divest the Divestiture Business in accordance with the process set out in Schedule 2 to this Undertaking.

6. Direction to personnel of Westfield and WRT

- 6.1 As soon as practicable after the Commencement Date, Westfield and WRT must direct their respective personnel, including directors, contractors, managers, officers, employees and agents not to do anything inconsistent with Westfield's and WRT's obligations under this Undertaking.

7. Confidential Information

- 7.1 Subject to clause 7.2, Westfield and WRT must not, at any time from the Control Date, use or disclose any confidential information about the Divestiture Business gained through:
- (a) ownership and/or management of the Divestiture Business; or
 - (b) fulfilling any obligations pursuant to this Undertaking.
- 7.2 Clause 7.1 does not apply to information that:

- (a) Westfield or WRT requires to comply with legal and regulatory obligations including obligations relating to taxation, accounting, financial reporting or stock exchange disclosure requirements;
- (b) Westfield or WRT requires to carry out its obligations pursuant to this Undertaking or to comply with legal or regulatory obligations provided such information is only used for that purpose and is only disclosed to those officers, employees, contractors and advisers of Westfield or WRT who need to know the information to carry out the permitted purpose; or
- (c) Westfield or WRT requires to use to continue to operate the Divestiture Business in its ordinary course as envisaged by this Undertaking (including clause 3.2 of Schedule 2) provided such information is only used for that purpose and is only disclosed to those officers, employees, contractors and advisers of Westfield or WRT who need to know the information to carry out the permitted purpose.

8. Information

- 8.1 Westfield and WRT must notify the ACCC and each Undertaking Appointment (if appointed) in writing of the proposed date of each of the following events at least five Business Days before each is proposed to occur:
 - (a) the completion of the Proposed Acquisition; and
 - (b) the completion of the sale of the Divestiture Business.
- 8.2 Westfield and WRT must notify the ACCC and each Undertaking Appointment (if appointed) in writing of the occurrence of each of the following events within one Business Day after the date the event occurs:
 - (a) the completion of the Proposed Acquisition;
 - (b) Westfield and WRT exercising the Put Option pursuant to the Put and Call Option Deed;
 - (c) the Buyer exercising the Call Option pursuant to the Put and Call Option Deed;
 - (d) the completion of the sale of the Divestiture Business; and
 - (e) the Plan B Control Date.
- 8.3 Westfield and WRT must notify the ACCC in writing as soon as they become aware that the divestiture of the Divestiture Business to the Buyer:
 - (a) may fail; and
 - (b) has failed.
- 8.4 The ACCC may direct Westfield and WRT in respect of their compliance with this Undertaking to, and Westfield and WRT must:

- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within Westfield's and /or WRT's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 8.5 Any direction made by the ACCC under clause 8.4 will be notified to Westfield and WRT, in accordance with clause 13.2.
- 8.6 In respect of Westfield's and WRT's compliance with this Undertaking or an Undertaking Appointment's compliance with its terms of appointment, the ACCC may request any Undertaking Appointment to:
 - (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within the auditor's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 8.7 Westfield and WRT will use their best endeavours to ensure that an Undertaking Appointment complies with any request from the ACCC in accordance with clause 8.6.
- 8.8 Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 8 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- 8.9 The ACCC may in its discretion to be exercised in good faith:
 - (a) advise any Undertaking Appointment of any request made by it under this clause 8; and/or
 - (b) provide copies to any Undertaking Appointment of any information furnished, documents and material produced or information given to it under this clause 8.
- 8.10 Nothing in this clause 8 requires the provision of information or documents in respect of which Westfield and/or WRT has a claim of legal professional or other privilege.

9. Disclosure of the Undertaking

- 9.1 Westfield, WRT and the ACCC agree that Confidential Schedule 5 will remain confidential until after the completion of the sale of the Divestiture Business.

- 9.2 Westfield, WRT and the ACCC agree that Confidential Schedule 7 will, subject to clauses 9.5 and 9.6, remain confidential at all times.
- 9.3 Westfield and WRT acknowledge that the ACCC may provide each Undertaking Appointment with a copy of this Undertaking unredacted in its entirety.
- 9.4 Westfield acknowledges that the ACCC may, subject to clauses 9.1 and 9.2:
- (a) make this Undertaking publicly available;
 - (b) publish this Undertaking on its Public Section 87B Undertakings Register; and
 - (c) from time to time publicly refer to this Undertaking.
- 9.5 Nothing in clause 9.1 or the confidential parts of this Undertaking referred to in clause 9.1 prevents the ACCC from disclosing such information as:
- (a) is required by law;
 - (b) is permitted by s 155AAA of the Act;
 - (c) is necessary for the purpose of enforcement action under section 87B of the Act; or
 - (d) is necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
- 9.6 Nothing in clause 9.1 or the confidential parts of this Undertaking referred to in clause 9.1 prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.

10. Obligation to procure

- 10.1 Where the performance of an obligation under this Undertaking requires a Related Body Corporate of Westfield or WRT to take or refrain from taking some action, Westfield or WRT (as applicable) will procure that Related Body Corporate to take or refrain from taking that action, as the case may be.

11. No Derogation

- 11.1 This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by Westfield or WRT of any term of the Undertaking.
- 11.2 Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that Westfield or WRT does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

12. Costs

- 12.1 Westfield and WRT must pay all of their own costs incurred in relation to this Undertaking.

13. Notices

Giving Notices

- 13.1 Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: mergers@accc.gov.au
Attention: Executive General Manager
Mergers and Adjudication Group

With an email copy sent to:

Director, Undertaking Compliance Unit
Coordination and Strategy Branch
Mergers and Adjudication Group
mergersucu@accc.gov.au

- 13.2 Any notice or communication to Westfield and/or WRT pursuant to this Undertaking must be sent to:

Name: Westfield Management Limited
Address: Level 30 85 Castlereagh Street, Sydney, NSW 2000
Email Address: STuxen@au.westfield.com
Fax number: (02) 9358 7241
Attention: Simon Tuxen – Company Secretary

Name: RE1 Limited
Address: Level 8, 77 Castlereagh Street, Sydney, NSW 2000
Email: kgrace@westfieldrt.com
Fax No: (02) 9333 4848
Attention: Katherine Grace – Company Secretary

Name: RE2 Limited
Address: Level 8, 77 Castlereagh Street, Sydney, NSW 2000
Email: kgrace@westfieldrt.com
Fax No: (02) 9333 4848
Attention: Katherine Grace – Company Secretary

- 13.3 If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).
- 13.4 If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

Change of contact details

- 13.5 Westfield, WRT and the ACCC must each notify the other parties of a change to its contact details within three Business Days.
- 13.6 Any notice or communication will sent to the most recently advised contact details and subject to clause 13.3 and 13.4, will be taken to be received.

14. Defined terms and interpretation

Definitions in the Dictionary

- 14.1 A term or expression starting with a capital letter:
- (a) which is defined in the Dictionary in Clause 1 of Schedule 1 (**Dictionary**), has the meaning given to it in the Dictionary; or
 - (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

Interpretation

- 14.2 Clause 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

Executed as an Undertaking

Executed by Westfield Management Limited (ACN 001 670 579) pursuant to section 127(1) of the Corporations Act 2001 by:

Signature of director

STEVEN MARK LOWY

Name of director (print)

Date: 3 September 2013

Signature of company secretary

SIMON JULIAN TUXEN

Name of company secretary (print)

Date: 3 September 2013

Executed by RE1 Limited (ACN 145 743 862) pursuant to section 127(1) of the Corporations Act 2001 by:

Signature of director

Peter Kenneth Allen

Name of director (print)

Date 3 September 2013

Signature of a company secretary

Katherine Grace

Name of company secretary (print)

Date 3 September 2013

Executed by RE2 Limited (ACN 145 744 065) pursuant to section 127(1) of the Corporations Act 2001 by

Signature of director

Peter Kenneth Allen

Name of director (print)

Date 3 September 2013

Signature of a company secretary

Katherine Grace

Name of company secretary (print)

Date 3 September 2013

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the Competition and Consumer Act 2010 on:

And signed on behalf of the Commission:

Chairman

Date

Schedule 1

1. Dictionary

ACCC means the Australian Competition and Consumer Commission.

Act means the *Competition and Consumer Act 2010* (Cth).

Agreements means any contract, arrangement or understanding, including any contract, arrangement or understanding to renew, amend, vary or extend any contract, arrangement or understanding.

AMPCI means AMP Capital Investors Limited (ACN 001 777 591).

Approved Audit Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, as amended from time to time by ACCC direction given under clause 5.14(d) of Schedule 2, by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

Approved Business Sale Agreement means the standard form contract for the divestiture of the Unsold Business which has been approved by the ACCC in accordance with the terms of this Undertaking.

Approved Independent Auditor means the person appointed under clause 5.13 of Schedule 2 to this Undertaking.

Approved Divestiture Agent means the person appointed under clause 6.13 of Schedule 2 to this Undertaking.

Approved Independent Manager means the person appointed under clause 4.13 of Schedule 2 to this Undertaking.

Approved Marketing and Sale Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, as amended from time to time by ACCC direction given under clause 6.14(l) of Schedule 2 to this Undertaking, by which the Approved Divestiture Agent will market and effect the divestiture of the Unsold Business.

Approved Purchaser means the person approved by the ACCC under clause 2.4(a) of Schedule 2 to this Undertaking.

Approved Sale and Purchase Agreement means the contract approved by the ACCC under clause 2.4(a)(i) of Schedule 2 by which the Approved Purchaser will acquire the Divestiture Business from Westfield and WRT.

Approved Separation and Management Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, as amended from time to time by ACCC direction given under clause 4.14(f) of Schedule 2 to this Undertaking, by which the Approved Independent Manager will:

- a) separate the Divestiture Business from any business to be retained by Westfield and WRT; and
- b) manage and operate the Divestiture Business independently of Westfield and WRT.

Associated Entity has the meaning given by section 50AAA of the *Corporations Act 2001* (Cth).

Audit Report has the meaning given in clause 5.16 of Schedule 2 of this Undertaking.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in the Australian Capital Territory.

Buyer refers to each of The Trust Company (Australia) Limited, Bieson Pty Limited, The Trust Company Limited, and Charter Hall Nominees Pty Limited.

Call Option has the meaning given to it in the Put and Call Option Deed.

Confidential Information means commercially sensitive or proprietary information including, without limiting the generality of the foregoing, operational and financial information, operating and capital costs and revenues, personnel information, customer information, price information, supplier information, tenant information, information concerning rentals and/or operating costs, marketing methods, patents, technologies or other trade secrets.

Control Date means the date on which the Proposed Acquisition is completed.

Commencement Date means the date described in clause 3.1 of this Undertaking.

Consents means any Government Consents or Third Party Consents.

Divestiture Business means all assets and interests therein of the:

- 1) Westfield Innaloo Shopping Centre;
- 2) Innaloo Mega Centre; and
- 3) Innaloo Shopping Village,

including the assets and interests described in Schedule 6 to this Undertaking.

Entities Connected has the meaning given by section 64B of the *Corporations Act 2001* (Cth).

Establishment Audit has the meaning given in clause 5.17 of Schedule 2 to this Undertaking.

Government Consents means any consents from any government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approvals or contracts required for the conduct of the Divestiture Business.

Innaloo Megacentre means the shopping centre known as Innaloo Megacentre located at Ellen Sterling Boulevard, Innaloo, Western Australia, and described in Schedule 6 to this Undertaking.

Innaloo Shoppers Village means the shopping centre known as Innaloo Shoppers Village located at corner Scarborough Road and Ellen Stirling Boulevard, Innaloo, Western Australia and described in Schedule 6.

Initial Sale Period is defined in Confidential Schedule 5 to this Undertaking.

Karrinyup Shopping Centre means the regional shopping centre located at 2000 Karrinyup Road, Karrinyup, Western Australia known as the Karrinyup Shopping Centre.

KSC Trust means the registered managed investment scheme known as the KSC Trust (ARSN 093 322 466).

Material Change means any change to the structure, attributes, extent or operations of the Divestiture Business or service comprising part of the Divestiture Business that may affect, or impact on, the competitiveness of the Divestiture Business.

Plan B Control Date means the earlier of:

- (a) the date on which it is known that the divestiture of the Divestiture Business by Westfield and WRT to the Buyer in accordance with the Put and Call Option Deed has failed, or will fail; and
- (b) the date 60 days after the Control Date.

For the avoidance of doubt, unless and until there is a Control Date then there will be no Plan B Control date.

Proposed Acquisition means the acquisition of units in the KSC Trust by Westfield and/or WRT, or by Westfield Management Limited in its capacity as trustee of the WestArt Trust, which, when aggregated with the units in the KSC Trust held at the date of this Undertaking by Westfield Management Limited, in its capacity as trustee for the WestArt Trust, represent 50% or more of the total number of units issued in the KSC Trust.

Proposed Divestiture Agent means a person named in a notice for a Proposed Divestiture Agent in the form of Schedule 4 to this Undertaking.

Proposed Divestiture Agent Notice means a completed notice in the form of Schedule 4 to this Undertaking with all required attachments in relation to the Proposed Divestiture Agent.

Proposed Independent Auditor means a person named in a notice for a Proposed Independent Auditor in the form of Schedule 4 to this Undertaking.

Proposed Independent Auditor Notice means a completed notice in the form of Schedule 4 to this Undertaking with all required attachments in relation to the Proposed Independent Auditor.

Proposed Independent Manager means a person named in a notice for a Proposed Independent Manager in the form of Schedule 4 to the Undertaking.

Proposed Independent Manager Notice means a completed notice in the form of Schedule 4 to this Undertaking with all required attachments in relation to the Proposed Independent Manager.

Proposed Purchaser means a person named in a notice for a Proposed Purchaser in the form of Schedule 3 to this Undertaking.

Proposed Purchaser Notice means a completed notice in the form of Schedule 3 to this Undertaking with all required attachments in relation to the Proposed Purchaser.

Put and Call Option Deed means the deed of that name in respect of Innaloo dated 27 August 2013 between amongst others RE1 Limited, Westfield Management Limited and the Buyer.

Put Option has the meaning given to it in the Put and Call Option Deed.

RE1 Limited means RE1 Limited (ACN 145743862 in its capacity as the responsible entity of Westfield Retail Trust 1.)

RE2 Limited means RE2 Limited (ACN 145744065) in its capacity as the responsible entity of Westfield Retail Trust 2.)

Related Body Corporate has the meaning given by section 4A of the Act.

Related Entities has the meaning given by section 9 of the *Corporations Act 2001* (Cth).

Related Parties has the meaning given by section 228 of the *Corporations Act 2001* (Cth).

Sale Contract means the Contract of Sale that is entered into following the exercise of either the Put Option or the Call Option.

Third Party Consents means any consents from any entity that is not a government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approvals or contracts (including contracts for service) required for the conduct of the Divestiture Business.

Transferred Personnel is defined in clause 1.6 of Schedule 2 of the Undertaking.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

Undertaking Appointment means the Approved Independent Manager, the Approved Independent Auditor or Approved Divestiture Agent, as applicable.

UniSuper means UniSuper Limited (ACN 006 027 121).

Unsold Business is defined in clause 6.1 of Schedule 2 of the Undertaking.

Unit Sale Process Deed means the deed of that name dated 26 June 2013 between Westfield Management Limited as trustee of WestArt Trust and UniSuper, and subsequently acceded to by AMP Capital Property Nominees Limited.

WestArt Trust means the trust constituted by the WestArt Trust Constitution.

WestArt Trust Constitution means the constitution of the WestArt Trust dated 27 August 1997 as varied by amending deeds from time to time.

Westfield Group means Westfield Holdings Limited, any Related Body Corporate of Westfield Holdings Limited, any trust or managed investment scheme of which the manager or responsible entity is Westfield Holdings Limited or a Related Body Corporate of Westfield Holdings Limited and any trust or managed investment scheme which is controlled within the meaning of section 50AA of the Corporations Act by any of the aforementioned persons but for the avoidance of doubt does not include RE1 Limited or RE2 Limited.

Westfield Innaloo Shopping Centre means the shopping centre located at Ellen Stirling Boulevard, Innaloo, Western Australia, and known as Westfield Innaloo.

Westfield Management Limited means Westfield Management Limited (ACN 001 670 579) in its capacity as the responsible entity of Westfield Trust.

Westfield Retail Trust Group means RE1 Limited, RE2 Limited, any other responsible entity of Westfield Retail Trust1 or Westfield Retail Trust 2 and any Related Body Corporate of such other responsible entity, any trust or managed investment scheme, the trustee or responsible entity of

which is RE1 Limited, RE2 Limited or any other responsible entity of Westfield Retail Trust 1 or Westfield Retail Trust or a Related Body Corporate of such other responsible entity and any trust or managed investment scheme which is controlled within the meaning of section 50AA of the Corporations Act by any of the aforementioned persons.

Westfield Retail Trust 1 means the listed and registered managed investment scheme known as Westfield Retail Trust 1 (ARSN 146 934 536).

Westfield Retail Trust 2 means the listed and registered managed investment scheme known as Westfield Retail Trust 2 (ARSN 146 934 652).

Westfield Trust means the listed and registered managed investment scheme known as the Westfield Trust (ARSN 090 849 746).

2. Interpretation

2.1 In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;

- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the ACCC's competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of a clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to:
 - (i) the effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) the need to ensure that the result of the Undertaking is to completely address any of the ACCC's competition concerns;
- (o) the ACCC may authorise the Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, Westfield and WRT will do everything within their power to ensure that their performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and
 - (iii) a monetary amount is in Australian dollars.

Schedule 2 – Plan B Alternative Divestiture Regime

1. Divestiture of the Divestiture Business

- 1.1 Westfield and WRT must within the Initial Sale Period, divest, or cause the divestiture of, the Divestiture Business to an Approved Purchaser, in accordance with this Undertaking.
- 1.2 Westfield and WRT must divest, or cause the divestiture of, the Divestiture Business by:
 - (a) the sale, assignment or transfer of all of the assets in Schedule 6 to the Approved Purchaser, pursuant to the Approved Sale and Purchase Agreement and within the Initial Sale Period;
 - (b) the transfer or grant to the Approved Purchaser of all Consents pursuant to clauses 1.3, 1.4 and 1.5 of Schedule 2; and
 - (c) the transfer of any Transferred Personnel pursuant to clauses 1.6 and 1.7 of Schedule 2.

Consents

- 1.3 Westfield and WRT must:
 - (a) obtain or assist the Approved Purchaser to obtain as expeditiously as possible, all Consents as required before completion of the sale of the Divestiture Business;
 - (b) comply with all requirements necessary to obtain any Consents, including by promptly providing all information necessary for the Consents to be given;
 - (c) act in good faith in its negotiations with the Approved Purchaser in relation to obtaining any Consents;
 - (d) promptly pay the costs and expenses of any third party incurred in providing the Consents; and
 - (e) at the request of the Approved Purchaser enter an Approved Interim Supply Agreement with the Approved Purchaser in relation to any services that are required for the operation of the Divestiture Business which may be affected by any failure to gain any Consent.
- 1.4 If, seven Business Days before completion of the sale of the Divestiture Business, the Approved Purchaser fails to obtain or is unable to obtain one or more Consents, then:
 - (a) Westfield on behalf of itself and WRT must immediately provide to the ACCC, in writing details of:
 - (i) the Consents that have not been obtained;
 - (ii) the reasons why the Consents have not been obtained; and
 - (iii) the information or material required to obtain the Consents.
 - (b) Westfield and WRT must continue to do everything in their power to satisfy Clause 1.3 of Schedule 2 as soon as possible after the completion of the sale of the Divestiture Business (and until such time as clause 1.3 of Schedule 2 is satisfied).
- 1.5 Even if Westfield and WRT have complied with clauses 1.3 and 1.4 of Schedule 2, it remains a breach of this Undertaking if Westfield and WRT are unable to effect the divestiture of the Divestiture Business by reason of a failure to obtain Consents.

Transferred Personnel

- 1.6 At the option of the Approved Purchaser, Westfield and WRT (as applicable) must transfer to the Approved Purchaser all employees whose principal place of employment is at the Divestiture Business who are, in the view of the Approved Purchaser, necessary for the Approved Purchaser to maintain, operate or conduct effectively the Divestiture Business and who consent to the transfer of their employment to the Approved Purchaser (**Transferred Personnel**).
- 1.7 When fulfilling their obligations under clause 1.6 of Schedule 2, Westfield and WRT must:
- (a) not directly or indirectly discourage any Transferred Personnel from continuing or seeking employment with, or providing services to, the Approved Purchaser;
 - (b) release the Transferred Personnel from any obligations to provide services to Westfield and/or WRT;
 - (c) release the Transferred Personnel from any non-compete or similar restraint of trade obligation, to the extent that such an obligation would otherwise prevent the person from performing his or her contemplated role in relation to the Divestiture Business or Unsold Business; and
 - (d) not procure, promote or encourage the transfer of any of the Transferred Personnel from the Approved Purchaser to Westfield or to WRT for a period of six months after the date of completion of the sale of the Divestiture Business.

Approved Interim Supply Agreement

- 1.8 Westfield and/or WRT must ensure the continuous supply of any goods or services which are the subject of any Approved Interim Supply Agreement for the period of the Approved Interim Supply Agreement.
- 1.9 Westfield and/or WRT must ensure that any Approved Interim Supply Agreement:
- (a) relates only to goods or services which are necessary to enable the Approved Purchaser to be a viable, effective, stand-alone independent and long-term competitor in the supply of planned retail space to retailers in north-west Perth and the supply of shopping centres to customers (shoppers) in north-west Perth;
 - (b) lasts for a period of no longer than 12 months, which period is to be nominated by the Approved Purchaser;
 - (c) provides for the continued supply of the services at cost price; and
 - (d) is on such terms other than price which are no less favourable to the Approved Purchaser than arm's length terms.
- 1.10 For the avoidance of doubt, any option to renew the interim supply of any services exercised pursuant to the Approved Interim Supply Agreement can only be exercised subject to the requirements of clause 1.9 of Schedule 2 being satisfied and with prior ACCC approval.

2. Sale of the Divestiture Business to an Approved Purchaser

Sale only to an Approved Purchaser

- 2.1 Westfield and WRT must divest the Divestiture Business to an Approved Purchaser, and must not authorise the Approved Divestiture Agent to divest the Divestiture Business or the Unsold Business to a purchaser other than an Approved Purchaser.

Provision of a notice for a Proposed Purchaser

- 2.2 To seek approval for a Proposed Purchaser in accordance with clause 2.4 of Schedule 2, Westfield and WRT or the Approved Divestiture Agent must provide the ACCC with written notice in the form prescribed in Schedule 3 to this Undertaking (**Proposed Purchaser Notice**).
- 2.3 The Proposed Purchaser Notice must be provided to the ACCC at least 20 Business Days prior to the end of the Initial Sale Period.

Proposed Purchaser Approval

- 2.4 After receiving a Proposed Purchaser Notice, the ACCC must decide whether to:
- (a) approve the person named in the Proposed Purchaser Notice as the Approved Purchaser which includes approving:
 - (i) the draft sale and purchase agreement attached to the Proposed Purchaser Notice;
 - (ii) any draft technical assistance agreement attached to the Proposed Purchaser Notice, in accordance with the criteria in clause 5.8 of Schedule 2; and
 - (iii) any draft interim supply agreement attached to the Proposed Purchaser Notice, in accordance with the criteria in clause 5.10 in Schedule 2; or
 - (b) not approve the person named in the Proposed Purchaser Notice as the Approved Purchaser.
- 2.5 Without limiting the ACCC's discretion, in making the decision described in clause 2.4 of Schedule 2, the factors to which the ACCC may have regard include whether:
- (a) the draft sale and purchase agreement is consistent with this Undertaking and otherwise acceptable to the ACCC;
 - (b) the Proposed Purchaser will complete the transaction as contemplated by the draft sale and purchase agreement;
 - (c) the Proposed Purchaser is independent of, and has no direct or indirect interest in, Westfield or WRT;
 - (d) the Proposed Purchaser is of good financial standing;
 - (e) the Proposed Purchaser has an intention to maintain and operate the Divestiture Business as a going concern;
 - (f) the Proposed Purchaser is able to conduct the Divestiture Business effectively; and
 - (g) the divestiture of the Divestiture Business to the Proposed Purchaser will address any competition concerns of the ACCC, including in relation to the likely long-term viability and competitiveness of the Divestiture Business under the ownership of the Proposed Purchaser.
- 2.6 Within 10 Business Days after receiving a notice for a Proposed Purchaser in the form prescribed in Schedule 3 to this Undertaking, the ACCC must notify Westfield and WRT in writing of its decisions made pursuant to clause 2.4 of Schedule 2.
- 2.7 The ACCC may extend the period within which it will provide the notice described in clause 2.6 of Schedule 2 by notifying Westfield and WRT in writing of the extension within 10 Business Days after receiving the Proposed Purchaser Notice.

- 2.8 Any extension of time by the ACCC under clause 2.7 of Schedule 2 extends the Initial Sale Period by the same length of time.
- 2.9 The ACCC may revoke a Proposed Purchaser's status as a Proposed Purchaser if the ACCC becomes aware that any information provided to it by Westfield, WRT or a Proposed Purchaser was incorrect, inaccurate or misleading.

3. Divestiture Business Protection

Protection of the Divestiture Business

- 3.1 From the Plan B Control Date, Westfield and WRT must not sell or transfer their interest in, or any assets comprising part of, or used in, the Divestiture Business (other than the sale of stock in the ordinary course of business) or make any Material Change to the Divestiture Business.
- 3.2 Without limiting this clause 3, Westfield and WRT must, from the Plan B Control Date until completion of the sale of the Divestiture Business, take all steps to:
- (a) ensure that the Divestiture Business is managed and operated in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Divestiture Business at the Plan B Control Date;
 - (b) minimise any risk of loss of competitive potential for the Divestiture Business;
 - (c) maintain the supply of those services that are part of the Divestiture Business to existing tenants, licencees and other occupants in a manner consistent with the supply of those goods and services as at the Plan B Control Date;
 - (d) maintain the operational standard and quality of the Divestiture Business, and of those services that are part of the Divestiture Business as at the Plan B Control Date;
 - (e) ensure that arrangements, agreements or contracts with tenants, licencees other occupants, service providers or other third parties that are in place on the Plan B Control Date relating to the Divestiture Business continue subject to their terms and subject to any Material Change made by Westfield and WRT to improve the operational efficiency of the Divestiture Business and which are approved in writing by the ACCC;
 - (f) carry out promotion and marketing of the assets which form part of the Divestiture Business in accordance with any plans established before the Plan B Control Date;
 - (g) continue to provide access to working capital and sources of credit for the Divestiture Business in a manner which is consistent with the financing of the Divestiture Business before the Plan B Control Date; and
 - (h) provide administrative, promotional, technical and marketing support for the Divestiture Business in a manner which is consistent with the operation of the Divestiture Business before the Plan B Control Date and in accordance with any plans established before the Plan B Control Date.
- 3.3 From the Plan B Control Date until completion of the sale of the Divestiture Business:
- (a) Westfield must not terminate or vary the terms of employment or engagement of any of the Transferred Personnel, or agree to do any of those things; and
 - (b) Westfield and WRT must not directly or indirectly procure, promote or encourage the redeployment of personnel necessary for the operation of the Divestiture

Business as at the Plan B Control Date to any other business operated by Westfield or WRT.

4. Independent Management of the Divestiture Business

Obligation to appoint an Approved Independent Manager

- 4.1 Westfield and WRT must appoint and maintain an Approved Independent Manager to manage the Divestiture Business from the Plan B Control Date until the completion of the divestiture of the Divestiture Business in accordance with this Undertaking.
- 4.2 Without limiting their obligations in this Undertaking, Westfield and WRT must:
- (a) comply with and enforce the terms of appointment of the Approved Independent Manager;
 - (b) maintain and fund the Approved Independent Manager to carry out his or her functions, including:
 - (i) indemnify the Approved Independent Manager for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Manager of his or her functions as the Approved Independent Manager except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Manager;
 - (ii) ensure that the Approved Independent Manager is fully able to acquire and pay for sufficient and timely delivery of all goods and services (including from third parties) which the Approved Independent Manager considers are required by the Divestiture Business;
 - (iii) provide and pay for any external expertise, assistance or advice required by the Approved Independent Manager to perform his or her functions as the Approved Independent Manager;
 - (c) not interfere with the authority of, or otherwise hinder, the Approved Independent Manager's ability to carry out his or her obligations as the Approved Independent Manager, including:
 - (i) accept (and direct their respective directors, contractors, managers, officers, employees and agents to accept) direction from the Approved Independent Manager as to the control, management, financing and operations of the Divestiture Business and for the Divestiture Business to meet all legal, corporate, financial, accounting, taxation, audit and regulatory obligations;
 - (ii) provide access to the facilities, sites or operations of the Divestiture Business required by the Approved Independent Manager;
 - (iii) provide to the Approved Independent Manager any information or documents requested by the Approved Independent Manager that he or she considers necessary for managing and operating the Divestiture Business or for reporting to or otherwise advising the ACCC;
 - (iv) not request information or reports regarding the Divestiture Business or from the personnel of the Divestiture Business except through the Approved Independent Manager; and
 - (v) not appoint the Approved Independent Manager, or have any Agreements with the Approved Independent Manager, to utilise the Approved

Independent Manager's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Manager ceases to act in the role of the Approved Independent Manager.

Approval of the Approved Independent Manager

- 4.3 If Westfield and WRT provide notice pursuant to clause 8.3 of this Undertaking Westfield and WRT must, within 5 Business Days, provide the ACCC with a notice for a Proposed Independent Manager in the form prescribed in Schedule 4 to this Undertaking (**Proposed Independent Manager Notice**).
- 4.4 If clause 4.3 does not apply then Westfield and WRT must, before 45 days after the Control Date, provide the ACCC with a Proposed Independent Manager Notice.
- 4.5 After receiving the Proposed Independent Manager Notice, the ACCC must decide whether to:
- (a) approve the appointment of the person named in the Proposed Independent Manager Notice as the Approved Independent Manager which includes approving:
 - (i) the terms of appointment attached to the Proposed Independent Manager Notice; and
 - (ii) any draft separation and management plan attached to the Proposed Independent Manager Notice; or
 - (b) not approve the person named in the Proposed Independent Manager Notice.
- 4.6 If clause 4.5(b) of Schedule 2 applies the ACCC may, at its absolute discretion:
- (a) direct Westfield and WRT to submit a Proposed Independent Manager Notice that:
 - (i) names a person identified by the ACCC as the Proposed Independent Manager; and/or
 - (ii) includes attachments that:
 - (A) relate to the person identified by the ACCC under clause 4.6(a)(i) of Schedule 2 (if applicable); and/or
 - (B) address any issues identified by the ACCC in relation to the terms of appointment and/or draft separation and management plan; or
 - (b) identify and approve a person as the Approved Independent Manager together with the:
 - (i) terms of appointment; and/or
 - (ii) draft separation and management plan.
- 4.7 As soon as practicable, and within two Business Days after any direction by the ACCC under clause 4.6(a), Westfield and WRT must submit a Proposed Independent Manager Notice in accordance with the direction.
- 4.8 Without limiting the ACCC's discretion, in making the decisions described in clause 4.5 or 4.6 of Schedule 2, the factors to which the ACCC may have regard include whether:

- (a) the person named in the Proposed Independent Manager Notice or identified by the ACCC has the qualifications and experience necessary to manage the Divestiture Business;
 - (b) the person named in the Proposed Independent Manager Notice or identified by the ACCC is sufficiently independent of Westfield and WRT;
 - (c) the terms of appointment and the draft separation and management plan are consistent with this Undertaking; and
 - (d) the terms of appointment and the draft separation and management plan are otherwise acceptable to the ACCC.
- 4.9 Within 10 Business Days of receiving a Proposed Independent Manager Notice, the ACCC must notify Westfield and WRT in writing of its decisions and any direction made pursuant to clause 4.5 and/or 4.6 of Schedule 2.
- 4.10 The ACCC may extend the period within which it will provide the notice described in clause 4.9 of Schedule 2 by notifying Westfield and WRT in writing of the extension within 10 Business Days of receiving the Proposed Independent Manager Notice.
- 4.11 If the Approved Independent Manager has not been appointed:
- (a) within 17 Business Days after the notice provided pursuant to clause 8.3 of this Undertaking;
 - (b) by the Plan B Control Date;
 - (c) within 17 Business Days after the Approved Independent Manager resigns or otherwise ceases to act as the Approved Independent Manager pursuant to clause 4.16, 4.17 or 4.18 of Schedule 2; or
 - (d) if the ACCC has not received a Proposed Independent Manager Notice pursuant to clause 4.19 of Schedule 2;

then the provisions of clause 4.12 of Schedule 2 apply.

- 4.12 If clause 4.11 of Schedule 2 applies, the ACCC at its absolute discretion may:
- (a) identify and approve a person as the Approved Independent Manager;
 - (b) approve the terms of appointment of the Approved Independent Manager; and
 - (c) approve the draft separation and management plan.

Appointment of the Approved Independent Manager

- 4.13 After receiving a notice from the ACCC of its decisions pursuant to clause 4.5, 4.6(b) or 4.12 Westfield and WRT must:
- (a) appoint the person approved by the ACCC as the Approved Independent Manager on the Approved Terms of Appointment; and
 - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment within one Business Day of execution.

Obligations and powers of the Approved Independent Manager

4.14 Westfield and WRT must procure that the terms of appointment of the Approved Independent Manager include obligations on the Approved Independent Manager to:

- (a) maintain his or her independence from Westfield and WRT, apart from appointment to the role of Approved Independent Manager, including not form any relationship of the types described in clause 2(c) of Schedule 4 to the Undertaking with Westfield and WRT for the period of his or her appointment;
- (b) act in the best interests of the Divestiture Business at all times and not use any confidential information gained through the management of the Divestiture Business other than for performing his or her functions as Approved Independent Manager;
- (c) manage the Divestiture Business pursuant to the Approved Separation and Management Plan;
- (d) co-operate with the requests of any Approved Divestiture Agent or Approved Independent Auditor appointed pursuant to this Undertaking;
- (e) provide the following reports directly to the ACCC:
 - (i) a monthly written report regarding the implementation of and any suggested changes to the Approved Separation and Management Plan;
 - (ii) an immediate report of any issues that arise in relation to the implementation of the Approved Separation and Management Plan or compliance with this Undertaking by any person named in this Undertaking; and
- (f) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Manager pursuant to this Undertaking.

4.15 Westfield and WRT must procure that the terms of appointment of the Approved Independent Manager and provide the Approved Independent Manager with the sole authority to:

- (a) manage and operate the Divestiture Business according to the Approved Separation and Management Plan until the completion of the sale of the Divestiture Business;
- (b) decide whether or not to provide access and the manner of such access in relation to competitively sensitive information relating to the Divestiture Business requested by Westfield or WRT which is not covered by the protocol in the Approved Separation and Management Plan;
- (c) renew or replace upon expiry material contracts for the provision of goods or services to the Divestiture Business on commercial terms favourable to the Divestiture Business;
- (d) engage, redeploy or make redundant personnel employed in the Divestiture Business as the Approved Independent Manager determines necessary; and
- (e) engage any external expertise, assistance or advice required by the Approved Independent Manager to perform his or her functions as the Approved Independent Manager.

Resignation or termination of the Approved Independent Manager

- 4.16 Westfield and WRT must immediately notify the ACCC in the event that the Approved Independent Manager resigns or otherwise stops acting as the Approved Independent Manager before the completion of the sale of the Divestiture Business.
- 4.17 The ACCC may revoke an Approved Independent Manager's status as the Approved Independent Manager if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 4.18 The ACCC may approve any proposal by, or alternatively may direct, Westfield and WRT to terminate the appointment of the Approved Independent Manager if in the ACCC's view the Approved Independent Manager acts inconsistently with the provisions of this Undertaking.
- 4.19 If clause 4.16, 4.17, or clause 4.18 applies, Westfield and WRT must provide the ACCC with a Proposed Independent Manager Notice within five Business Days after the relevant event occurs, otherwise clause 4.12 applies.

5. Independent Audit

Obligation to appoint an Approved Independent Auditor

- 5.1 Westfield and WRT must appoint and maintain an Approved Independent Auditor to audit and report upon their compliance with this Undertaking in accordance with the process in this clause 5 of Schedule 2.
- 5.2 Without limiting their obligations in this Undertaking, Westfield and WRT must:
 - (a) comply with and enforce the terms of appointment for the Approved Independent Auditor;
 - (b) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
 - (i) indemnify the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
 - (ii) provide and pay for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor;
 - (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
 - (i) directing Westfield and WRT personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 5;
 - (ii) providing access to the facilities, sites or operations of the Divestiture Business and Westfield's and WRT's other businesses as required by the Approved Independent Auditor;

- (iii) providing to the Approved Independent Auditor any information or documents requested by the Approved Independent Auditor that he or she considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
- (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
- (v) not appointing the Approved Independent Auditor, or having any agreements, understandings or arrangements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

Approval of the Approved Independent Auditor

- 5.3 If Westfield and WRT provide notice pursuant to clause 8.3 of this Undertaking Westfield and WRT must, within 5 Business Days, provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 4 to this Undertaking (**Proposed Independent Auditor Notice**).
- 5.4 If clause 5.3 does not apply then Westfield and WRT must, before 45 days after the Control Date, provide the ACCC with a Proposed independent Auditor Notice.
- 5.5 After receiving a Proposed Independent Auditor Notice, the ACCC must decide whether to:
 - (a) approve the appointment of the person named in the Proposed Independent Auditor Notice as the Approved Independent Auditor which includes approving:
 - (i) the terms of appointment attached to the Proposed Independent Auditor Notice; and
 - (ii) any draft audit plan attached to the Proposed Independent Auditor Notice; or
 - (b) not approve the person named in the notice as the Proposed Independent Auditor Notice.
- 5.6 If clause 5.5(b) of Schedule 2 applies, the ACCC may, at its absolute discretion:
 - (a) direct Westfield and WRT to submit a Proposed Independent Auditor Notice that:
 - (i) names a person identified by the ACCC as the Proposed Independent Auditor; and/or
 - (ii) includes attachments that:
 - (A) relate to the person identified by the ACCC under clause 5.6(a)(i) of Schedule 2 (if applicable); and/or
 - (B) address any issues identified by the ACCC in relation to the terms of appointment and/or draft audit plan; or
 - (b) identify and approve a person as the Approved Independent Auditor together with the:

- (i) terms of appointment; and
 - (ii) draft audit plan.
- 5.7 As soon as practicable, and within two Business Days of any direction by the ACCC under clause 5.6(a) of Schedule 2, Westfield and WRT must submit a Proposed Independent Auditor Notice in accordance with the direction.
- 5.8 Without limiting the ACCC's discretion, in making the decisions described in clauses 5.5 and/or 5.6 of Schedule 2, the factors to which the ACCC may have regard include whether:
 - (a) the person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
 - (b) the person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of Westfield and of WRT;
 - (c) the terms of appointment and the draft audit plan are consistent with this Undertaking; and
 - (d) the terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.
- 5.9 Within 10 Business Days after receiving a Proposed Independent Auditor Notice, the ACCC must notify Westfield and WRT in writing of its decisions and any direction made pursuant to clause 5.5 and/or 5.6 of Schedule 2.
- 5.10 The ACCC may extend the period within which it will provide the notice described in clause 5.9 of Schedule 2 by notifying Westfield and WRT in writing of the extension within 10 Business Days after receiving the Proposed Independent Auditor Notice.
- 5.11 If an Approved Independent Auditor has not been appointed:
 - (a) within 17 Business Days after the notice provided pursuant to clause 8.3 of this Undertaking;
 - (b) by the Plan B Control Date,
 - (c) within 17 Business Days after the Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Auditor pursuant to clause 5.20, 5.21 or 5.22 of Schedule 2; or
 - (d) if the ACCC has not received a Proposed Independent Auditor Notice pursuant to clause 5.23 of Schedule 2;

then the provisions of clause 5.12 of Schedule 2 apply.
- 5.12 If clause 5.11 of Schedule 2 applies, the ACCC at its absolute discretion may:
 - (a) identify and approve a person as the Approved Independent Auditor;
 - (b) approve the terms of appointment of the Approved Independent Auditor; and
 - (c) approve the draft audit plan.

Appointment of the Approved Independent Auditor

- 5.13 After receiving notice from the ACCC of its decisions pursuant to clause 5.5, 5.6 or 5.12 of Schedule 2, Westfield and/or WRT must, within two Business Days:
- (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
 - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment within one Business Day of execution.

Obligations and powers of the Approved Independent Auditor

- 5.14 Westfield and WRT must procure that the terms of appointment of the Approved Independent Auditor include obligations on the Approved Independent Auditor to:
- (a) maintain his or her independence from Westfield and WRT, apart from appointment to the role of Approved Independent Auditor, including not form any relationship of the types described in clause 2(c) of Schedule 4 with Westfield or WRT for the period of his or her appointment;
 - (b) conduct compliance auditing according to the Approved Audit Plan;
 - (c) provide the following reports directly to the ACCC:
 - (i) a scheduled written Audit Report as described in clause 5.16 and clause 5.17 of Schedule 2; and
 - (ii) an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking by any person named in this Undertaking; and
 - (d) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.
- 5.15 Westfield and WRT must procure that the terms of appointment of the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:
- (a) access the facilities, sites or operations of the Divestiture Business and Westfield's and WRT's other businesses as required by the Approved Independent Auditor;
 - (b) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
 - (c) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

Compliance Audit

- 5.16 The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) on:
- (a) Westfield's and WRT's compliance with this Undertaking;
 - (b) all of the reasons for the conclusions reached in the Audit Report;

- (c) any qualifications made by the Approved Independent Auditor in forming his or her views;
- (d) any recommendations by the Approved Independent Auditor to improve:
 - (i) the Approved Audit Plan,
 - (ii) the integrity of the auditing process;
 - (iii) Westfield and WRT's compliance with this Undertaking; and
 - (iv) Westfield's and WRT's processes or reporting systems in relation to compliance with this Undertaking; and
- (e) the implementation and outcome of any prior recommendations by the Approved Independent Auditor.

5.17 The Approved Independent Auditor is to provide an Audit Report to the ACCC, Westfield and WRT at the following times:

- (a) within 10 Business Days after the Plan B Control Date, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved Audit Plan (**Establishment Audit**);
- (b) every month from the date of the first Audit Report until the first month after date on which the divestiture of the Divestiture Business is completed;
- (c) every three months after the date of provision of the last Audit Report pursuant to clause 5.17(b) of Schedule 2, until the ACCC confirms in writing to Westfield and WRT that it is satisfied that the divestiture of the Divestiture Business pursuant to clause 1 of Schedule 2 has been completed; and
- (d) a final report due three months after the last report provided pursuant to clause 5.17(c) of Schedule 2.

5.18 Westfield and WRT must implement any recommendations of the Approved Independent Auditor made in the Audit Report, and notify the ACCC of the implementation of the recommendations, within 10 Business Days after receiving the Audit Report or after a period agreed with the ACCC.

5.19 Westfield must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed (or such longer period as agreed with the ACCC).

Resignation or termination of the Approved Independent Auditor

5.20 Westfield and WRT must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor before the ACCC has provided the written confirmation pursuant to clause 4.1, 4.2, 4.4 or clause 4.5 of this Undertaking.

5.21 The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

5.22 The ACCC may approve any proposal by, or alternatively may direct, Westfield and WRT to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the terms of his or her appointment.

- 5.23 If clause 5.20, 5.21 or 5.22 of Schedule 2 applies, Westfield and WRT must provide the ACCC with a Proposed Independent Auditor Notice within five Business Days after the relevant event occurs, otherwise clause 5.12 of Schedule 2 applies.

6. Failure to divest the Divestiture Business within the Initial Sale Period

Divestiture of the Unsold Business

- 6.1 In the event that the divestiture of the Divestiture Business to an Approved Purchaser is not completed by the end of the Initial Sale Period, the Divestiture Business becomes an Unsold Business (**Unsold Business**) and clauses 6.2 to 6.19 of Schedule 2 apply.

Obligation to appoint an Approved Divestiture Agent

- 6.2 From the end of the Initial Sale Period until the completion of the sale of the Divestiture Business Westfield and WRT must appoint and maintain an Approved Divestiture Agent to effect the divestiture of the Unsold Business.
- 6.3 Without limiting its obligations in this Undertaking, Westfield and WRT must from the end of the Initial Sale Period:
- (a) comply with and enforce the terms of appointment for the Approved Divestiture Agent;
 - (b) maintain and fund the Approved Divestiture Agent to carry out his or her functions; including:
 - (i) indemnify the Approved Divestiture Agent for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Divestiture Agent of his or her functions as the Approved Divestiture Agent except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Divestiture Agent;
 - (ii) provide and pay for any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent;
 - (iii) pay such fees as are agreed between the Approved Divestiture Agent, Westfield and WRT (but not fees contingent on the price to be obtained for the Unsold Business);
 - (iv) if an agreement as to fees cannot be reached between the Approved Divestiture Agent, Westfield and WRT within 15 Days of the end of the Initial Sale Period, Westfield and WRT agree to pay such fees as are directed by the ACCC;
 - (c) not interfere with, or otherwise hinder, the Approved Divestiture Agent's ability to carry out his or her functions as the Approved Divestiture Agent, including:
 - (i) direct their respective personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 6;
 - (ii) provide access to the facilities, sites or operations of the Unsold Business as required by the Approved Divestiture Agent;
 - (iii) provide to the Approved Divestiture Agent any information, documents or other assistance requested by the Approved Divestiture Agent that he or she

- considers necessary for carrying his or her functions as the Approved Divestiture Agent or for reporting to or otherwise advising the ACCC;
- (d) within three Business Days after receipt of a notice from the ACCC pursuant to clause 6.5 of Schedule 2, Westfield and WRT must instruct the Approved Divestiture Agent to complete the divestiture of the Unsold Business to the Approved Purchaser in accordance with the documents approved by the ACCC pursuant to clause 2.4(a) of Schedule 2; and
- (e) other than in accordance with clause 6.3(d) of Schedule 2, not instruct the Approved Divestiture Agent to sell the Unsold Business.

Approval of the Approved Divestiture Agent

- 6.4 At least 15 Business Days prior to the end of the Initial Sale Period, if the sale of the Divestiture Business has not been completed, Westfield and WRT must provide the ACCC with:
 - (a) a notice for a Proposed Divestiture Agent in the form of Schedule 4 to this Undertaking (**Proposed Divestiture Agent Notice**); and
 - (b) if no Approved Independent Manager has yet been appointed, a Proposed Independent Manager Notice.
- 6.5 After receiving a Proposed Divestiture Agent Notice, the ACCC must decide whether to:
 - (a) approve the appointment of the person named in the Proposed Divestiture Agent Notice as the Approved Divestiture Agent which includes approving the:
 - (i) terms of appointment attached to the Proposed Divestiture Agent Notice;
 - (ii) draft business sale agreement attached to the Proposed Divestiture Agent Notice; and
 - (iii) draft marketing and sale plan attached to the Proposed Divestiture Agent Notice; or
 - (b) not approve the person named in the Proposed Divestiture Agent Notice as the Approved Divestiture Agent.
- 6.6 If clause 6.5(b) of Schedule 2 applies, the ACCC may, at its absolute discretion:
 - (a) direct Westfield and WRT to submit a Proposed Divestiture Agent Notice that:
 - (i) names a person identified by the ACCC as the Proposed Divestiture Agent; and/or
 - (ii) includes attachments that:
 - (A) relate to the person identified by the ACCC under clause 6.6(a) (if applicable); and/or
 - (B) address any issues identified by the ACCC in relation to the terms of appointment, draft business sale agreement, and/or draft marketing and sale plan; or

- (b) identify and approve a person as the Approved Divestiture Agent together with the:
 - (i) terms of appointment
 - (ii) draft business sale agreement and/or
 - (iii) draft marketing and sale plan.
- 6.7 As soon as practicable, and within two Business Days after any direction by the ACCC under clause 6.6(a), Westfield and WRT must submit a Proposed Divestiture Agent Notice in accordance with the direction.
- 6.8 Without limiting the ACCC's discretion, in making the decisions described in clause 6.5 and/or 6.6 of Schedule 2, the factors to which the ACCC may have regard include whether:
 - (a) the person named in Proposed Divestiture Agent Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Divestiture Agent;
 - (b) the person named in the Proposed Divestiture Agent Notice or identified by the ACCC is sufficiently independent of Westfield and of WRT;
 - (c) the terms of appointment, draft business sale agreement and draft marketing and sale plan are consistent with this Undertaking; and
 - (d) the terms of appointment, draft business sale agreement and draft marketing and sale plan are otherwise acceptable to the ACCC.
- 6.9 Within 10 Business Days after receiving a Proposed Divestiture Agent Notice, the ACCC must notify Westfield and WRT in writing of its decisions and any direction made pursuant to clause 6.5 and/or 6.6 of Schedule 2.
- 6.10 The ACCC may extend the period within which it will make the decision described in clause 6.5 and/or 6.6 of Schedule 2 by notifying Westfield and WRT in writing of the extension within 10 Business Days after receiving the Proposed Divestiture Agent Notice.
- 6.11 Any extension of time by the ACCC under clause 6.10 of Schedule 2 extends the Initial Sale Period by the same length of time. If the Approved Divestiture Agent has not been appointed:
 - (a) within 10 Business Days after the Divestiture Business becomes an Unsold Business;
 - (b) within 17 Business Days after the Approved Divestiture Agent resigns or otherwise ceases to act pursuant to clauses 6.17, 6.18 or 6.19 of Schedule 2; or
 - (c) if the ACCC has not received a Proposed Divestiture Agent Notice pursuant to clause 6.20;then the provisions of clause 6.12 of Schedule 2 apply.
- 6.12 If clause 6.11 of Schedule 2 applies, the ACCC may, at its absolute discretion:
 - (a) identify and approve a person as the Approved Divestiture Agent;

- (b) approve the terms of appointment of the Approved Divestiture Agent;
- (c) approve the draft business sale agreement; and
- (d) approve the draft marketing and sale plan.

Appointment of the Approved Divestiture Agent

6.13 After receiving notice from the ACCC of its decisions pursuant to clause 6.5, 6.6 or 6.12, Westfield and WRT must, within two Business Days:

- (a) appoint the person approved by the ACCC as the Approved Divestiture Agent on the Approved Terms of Appointment; and
- (b) forward to the ACCC a copy of the executed Approved Terms of Appointment within one Business Day of execution.

Obligations and powers of the Approved Divestiture Agent

6.14 Westfield and WRT must procure that the terms of appointment of the Approved Divestiture Agent include obligations on the Approved Divestiture Agent to:

- (a) maintain his or her independence from Westfield and WRT, apart from appointment to the role of Approved Divestiture Agent, including not form any relationship of the types described in clause 2(c) of Schedule 4 with Westfield or WRT for the period of his or her appointment;
- (b) not use any confidential information gained through the divestiture of the Unsold Business other than for performing his or her functions as Approved Divestiture Agent;
- (c) ensure that Westfield and WRT comply with their obligations pursuant to this Undertaking;
- (d) follow the Approved Marketing and Sale Plan;
- (e) divest the Unsold Business only to the Approved Purchaser, approved by the ACCC in accordance with clause 2.4 of Schedule 2;
- (f) use his or her best endeavours to enter into a binding agreement for the sale of the Unsold Business as quickly as possible using the Approved Business Sale Agreement;
- (g) co-operate with the requests of any Approved Independent Manager or Approved Independent Auditor appointed pursuant to this Undertaking;
- (h) every 30 Business Days following appointment of the Approved Divestiture Agent, provide written reports directly to the ACCC which include:
 - (i) information regarding the implementation of the Approved Business Sale Agreement and the Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
 - (ii) information regarding any suggested changes to any Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
 - (iii) an account and explanation of all disbursements, fees and charges incurred by the Approved Divestiture Agent in undertaking his or her duties by month and to the date of the report;

- (iv) a schedule of agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 6.15(d);
- (v) the efforts made to sell the Unsold Business;
- (vi) the identity of any advisers engaged;
- (vii) the identity of any persons expressing interest in the Unsold Business; and
- (viii) any other information required by the ACCC;
- (i) within 30 Business Days of the completion of the sale of the Unsold Business, provide a written report directly to the ACCC which includes a final accounting of:
 - (i) any moneys derived from the divestiture of the Unsold Business;
 - (ii) all disbursements, fees and charges incurred by the Approved Divestiture Agent in fulfilling his or her duties; and
 - (iii) all agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 6.15(d);
- (j) immediately inform the ACCC of:
 - (i) any issues that arise in relation to the implementation of the Approved Sale and Purchase Agreement and any Approved Marketing and Sale Plan;
 - (ii) non-compliance with the Undertaking by any person named in the Undertaking;
 - (iii) any offers for the Unsold Business;
- (k) accept any offer for the Unsold Business upon instruction from Westfield and WRT given in accordance with clause 6.3(d); and
- (l) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Divestiture Agent pursuant to this Undertaking.

6.15 Westfield and WRT must procure that the terms of appointment of the Approved Divestiture Agent contain an irrevocable grant of power of attorney conferring all necessary power and authority on the Approved Divestiture Agent to:

- (a) negotiate with purchasers to divest the Unsold Business on terms considered by the Approved Divestiture Agent to be consistent with this Undertaking and the Approved Marketing and Sale Plan;
- (b) execute any agreements with the Approved Purchaser required pursuant to clause 6;
- (c) upon instruction pursuant to clause 6.3(d), complete the sale of the Unsold Business to the Approved Purchaser in accordance with the Approved Business Sale Agreement; and
- (d) engage any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent.

6.16 Any irrevocable power of attorney granted pursuant to clause 6.15 will end upon resignation, termination of the Approved Divestiture Agent in accordance with clause 6.17, 6.18 or clause 6.19 or in the event that the Unsold Business is sold in accordance with this Undertaking.

Resignation or termination of the Approved Divestiture Agent

- 6.17 Westfield and WRT must immediately notify the ACCC in the event that an Approved Divestiture Agent resigns or otherwise stops acting as an Approved Divestiture Agent before the completion of the sale of the Unsold Business.
- 6.18 The ACCC may revoke an Approved Divestiture Agent's status as the Approved Divestiture Agent if the ACCC becomes aware that any information provided to it by Westfield, WRT or the Approved Divestiture Agent was incorrect, inaccurate or misleading.
- 6.19 The ACCC may approve any proposal by, or alternatively may direct, Westfield and WRT to terminate an Approved Divestiture Agent if in the ACCC's view the Approved Divestiture Agent acts inconsistently with the provisions of this Undertaking.
- 6.20 If either clause 6.17, 6.18, or clause 6.19 applies then Westfield and WRT must provide the ACCC with a Proposed Divestiture Agent Notice within five Business Days, otherwise clause 6.12 applies.

Schedule 3 – Proposed Purchaser Notice Form

Please note in relation to information given on or in relation to this form, giving false or misleading information is a serious offence.

The completed form with requested documents attached may be provided to the ACCC using the following method:

Email

Subject line: Proposed Purchaser Notice – [insert name of undertaking]

Address: mergers@accc.gov.au

Attention: Executive General Manager
Mergers and Adjudication Group

With an email copy sent to:

Address: mergersucu@accc.gov.au

Attention: Director, Undertaking Compliance Unit
Coordination and Strategy Branch
Mergers and Adjudication Group

1. In relation to the Proposed Purchaser, please provide the following information:
 - (a) Name of the Proposed Purchaser:
 - (b) Address:
 - (c) Contact name:
 - (d) Telephone number:
 - (e) Other contact details:
2. Please attach a submission containing the following information to this form:
 - (a) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchaser carries on its business;
 - (b) details of the Proposed Purchaser's experience in the relevant market/s;
 - (c) the names of the [owner/s and the directors (delete any that do not apply)] of the Proposed Purchaser;
 - (d) a section addressing the factors set out in clause 2.5 of Schedule 2 of this Undertaking, including any information adverse to the Proposed Purchaser, in the power, possession or control of Westfield and/or WRT;
 - (e) details of any of the following types of relationships between Westfield and/or WRT and the Proposed Purchaser or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - i. Westfield and/or WRT and the Proposed Purchaser are Associated Entities;
 - ii. Westfield and/or WRT is an Entity Connected with the Proposed Purchaser;

- iii. the Proposed Purchaser is an Entity Connected with Westfield and/or WRT;
- iv. Westfield or WRT and the Proposed Purchaser are Related Entities;
- v. Westfield or WRT and the Proposed Purchaser are Related Parties;
- vi. any Related Party, Related Entity or Entity Connected with Westfield and/or WRT is a Related Party, Related Entity or Entity Connected with the Proposed Purchaser;
- vii. Westfield or WRT and the Proposed Purchaser have a contractual relationship or had one within the past three years, other than those attached to this form;
- iii. the Proposed Purchaser is a supplier of Westfield or WRT or has been in the past three years;
- ix. Westfield or WRT is a supplier of the Proposed Purchaser or has been in the past three years; and
- x. any other relationship between Westfield or WRT and the Proposed Purchaser that allows one to affect the business decisions of the other.

3. Please also attach to this form:

- (a) the finalised draft of the sale and purchase agreement for approval by the ACCC in accordance with this Undertaking;
- (b) the finalised draft of any technical assistance agreement for approval by the ACCC in accordance with this Undertaking;
- (c) the finalised draft of any interim supply agreement for approval by the ACCC in accordance with this Undertaking; and
- (d) Any documents required to support the information provided by Westfield and WRT pursuant to this form.

Schedule 4 – Undertaking Appointment Form

Proposed [please delete one: Auditor/Divestiture Agent/Independent Manager/Independent] Form

This form sets out the information required by the ACCC in relation to proposed appointment of the following positions under the Undertaking:

- Independent Manager;
- Independent Auditor; or
- Divestiture Agent.

(the **Undertaking Appointments**)

This form is to be used for each of the above appointments.

Please note in relation to information given on in relation to this form, giving false or misleading information is a serious offence.

Method of Delivery to the ACCC

The completed Undertaking Appointment form, along with the additional requested information is to be provided to the ACCC with the subject line (*proposed* [only include relevant Undertaking Appointment i.e. Independent Auditor/Divestiture Agent/Independent Manager] *Form* – [insert name of undertaking] to the below email addresses:

mergers@accc.gov.au

Attention: Executive General Manager
Mergers and Adjudication Group

With an email copy sent to:

mergersucu@accc.gov.au

Attention: Director
Undertaking Compliance Unit
Coordination and Strategy Branch
Mergers and Adjudication Group

Information Required

The ACCC requires the following information in order to assess a proposed Independent Auditor, Divestiture Agent or Independent Manager (i.e. the relevant undertaking appointment).

1. Proposed Undertaking Appointment Details:

- (a) the name of the Proposed Undertaking Appointment; and
- (b) the name of the proposed Undertaking Appointment's employer and contact details including:
 - Address
 - Contact name
 - Telephone number
 - Other contact details.

2. A submission containing the following information:
- (a) details of the Undertaking Appointment's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking;
 - (b) the names of the [owner/s and the directors (delete any that do not apply)] of [the Undertaking Appointment's employer];
 - (c) details of any of the following types of relationships between Westfield or WRT and [the Undertaking Appointment] or [the Undertaking Appointment's employer] or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - i. Westfield or WRT and [the undertaking appointment's employer] are Associated Entities;
 - ii. Westfield or WRT is an Entity Connected with [the Undertaking Appointment's employer];
 - iii. [The Undertaking Appointment's employer] is an Entity Connected with Westfield or WRT;
 - iv. Westfield or WRT and [the Undertaking Appointment's employer] are Related Entities;
 - v. Westfield or WRT and [the Undertaking Appointment's employer] are Related Parties;
 - vi. any Related Party, Related Entity or Entity Connected with Westfield or with WRT is a Related Party, Related Entity or Entity Connected with [the Undertaking Appointment];
 - vii. Westfield or WRT and [the Undertaking Appointment] or [the Undertaking Appointment's employer] have a contractual relationship or had one within the past three years, other than those attached to this form;
 - ix. [the Undertaking Appointment's employer] is a supplier of Westfield or WRT or has been in the past three years;
 - x. Westfield or WRT is a supplier of the [the Undertaking Appointment's employer] or has been in the past three years and
 - xi. any other relationship between Westfield or WRT and [the Undertaking Appointment] or [the Undertaking Appointment's employer] that allows one to affect the business decisions of the other; and
3. a document outlining the terms of appointment of the proposed Undertaking Appointment.

Specific Information required for Undertaking Appointments

The ACCC requires the below information in relation to the relevant Undertaking Appointment.

Proposed Independent Auditor

1. At the request of the ACCC, the finalised draft audit plan for the Divestiture Business, drafted by the Proposed Independent Auditor and outlining (to the extent possible) the Proposed Independent Auditor's plans in regard to the establishment audit and the Audit Report.

Proposed Divestiture Agent

1. At the request of the ACCC, the finalised draft business sale agreement drafted by the Proposed Divestiture Agent in consultation with Westfield and WRT. The draft business sale agreement is to provide for the divestiture of the Unsold Business.
2. The Proposed Divestiture Agent's draft marketing and sale plan for the Unsold Business.

Proposed Independent Manager

1. At the request of the ACCC, the finalised draft separation and management plan for the Divestiture Business detailing the measures and timing to be implemented by Westfield, WRT and the Approved Independent Manager in order to fulfil Westfield's, WRT's and the Approved Independent Manager's obligations pursuant to the Undertaking. This plan is to be drafted by the Proposed Independent Manager in consultation with Westfield and WRT to achieve the objectives of the Undertaking including:
 - (a) the intended mode of operation of the Divestiture Business until completion of its sale;
 - (b) separation measures to ensure the Divestiture Business is operated in a manner which is financially and operationally separate from Westfield and WRT, including the;
 - (i) separation of the books and records of the Divestiture Business from those of Westfield and/or WRT;
 - (ii) severance of the Divestiture Business's participation in any private shared information technology networks, to the extent possible without compromising the viability of the Divestiture Business;
 - (ii) implementation of specific electronic, information and physical security measures to maintain the confidentiality of any competitively sensitive information of the Divestiture Business; and
 - (iv) severance of arrangements to share personnel and plant between the Divestiture Business and any businesses to be retained by Westfield and WRT, to the extent possible without compromising the viability of the Divestiture Business;
 - (c) details of contracts for the provision of goods or services to the Divestiture Business which will expire after the completion of the sale of the Divestiture Business to the Approved Purchaser and the actions which will be taken to ensure they are replaced on commercial terms as favourable to the Divestiture Business;
 - (d) personnel planning to maintain appropriate personnel levels and ensure that the Divestiture Business has access to all personnel necessary to operate the Divestiture Business;
 - (e) any Material Change to the Divestiture Business required in order to fulfil Westfield's, WRT's and the Approved Independent Manager's obligations pursuant to the Undertaking;

- (f) the cooperation required from the Independent Manager with Westfield and WRT in relation to the divestiture of the Divestiture Business, including:
 - (i) the method by which due diligence information, site visits and personnel interviews by and to prospective purchasers of the Divestiture Business will be managed;
 - (ii) the method by which the Independent Manager and Westfield will preserve the confidentiality of the Divestiture Business's competitively sensitive information from Westfield, WRT and its advisers throughout this process; and
- (g) protocol whereby the Approved Independent Manager can provide any information requested by Westfield and/or WRT without disclosing the details of the Divestiture Business's competitively sensitive information to Westfield or WRT.

Schedule 5 – Confidential

Schedule 6

The assets (and all interests therein) comprising the following:

- (a) Westfield Innaloo being the whole of the land comprised in Certificate of Title Volume 2211 Folio 580
- (b) Innaloo Megacentre being the whole of the land comprised in:
 - . Certificate of Title Volume 2215 Folio 989
 - . Certificate of Title Volume 2215 Folio 990
 - . Certificate of Title Volume 2215 Folio 991
 - . Certificate of Title Volume 2226 Folio 945
- (c) Innaloo Shoppers Village being the whole of the land comprised in Certificate of Title Volume 2085 Folio 326

together with (in relation to each of Westfield Innaloo, Innaloo Megacentre and Innaloo Shopper's Village as applicable) all buildings, plant and equipment and other improvements, contracts including services agreements, permits and licences granted by government agencies and necessary for the ownership and operation of the relevant property, agreements for the leasing and/or hiring of plant and equipment,, records including books, turnover records, plans and drawings, tenancy agreements, leases and licences and all ancillary agreements to which Westfield and WRT are parties or lessees.

Schedule 7 – Confidential